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STATE-WAR-NAVY COORDINATING SUBCOMMITTEE
FOR THE FAR EAST

POLITICO-MILITARY PROBLEMS OF THE FAR EAST:
NATIONAL COMPOSITION OF FORCES TO OCCUPY FORMOSA
(INCLUDING THE PESCADORES) IN THE POST-DEFEAT PERIOD:
RELATIONS OF THE MILITARY GOVERNMENT OF FORMOSA
WITH CHINA AND THE CHINESE

Reference : a. SWNCC 16/2
b. SWNCC 53
c. SWNCC 68
d. SFE 104 Series

Note by the Secretary

1. The enclosure, a recision of SFE 104 in the light of SFE 104/1 and of current events, is circulated for the consideration of the Subcommittee.

HUGH D. FARLEY
Lieut., USNR
Secretary

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ENCLOSURE

POLITICO MILITARY PROBLEMS OF THE FAR EAST: NATIONAL COMPOSITION OF FORCES TO OCCUPY FORMOSA: (INCLUDING THE PESCADORES) IN THE POST-DEFEAT PERIOD: RELATIONS OF THE MILITARY GOVERNMENT OF FORMOSA WITH CHINA AND THE CHINESE

Report by the State-War-Navy Coordinating Subcommittee for the Far East

THE PROBLEM

1. To determine the advisability of occupation and the establishment of military government by the United States in Formosa until such time as the administration and control thereof can be restored to China.

2. To determine the extent and conditions of participation in military government by the Chinese Government or its civil or military agents.

3. To define the relations of a United States military government of Formosa with China and the Chinese.

FACTS BEARING ON THE PROBLEM

4. See Appendix "A" for "Facts Bearing on the Problem".

DISCUSSION

5. See Appendix "B" for "Discussion".

CONCLUSIONS

6. It is concluded that:

a. China should occupy and establish military government in Formosa unless circumstances make it impossible for her to undertake such responsibility.

b. If the United States furnishes assistance to Chinese forces in the occupation, the United States military authorities concerned should take such measures as may be necessary for the protection of U.S. personnel and supplies but should assume no responsibility for military government.

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c. If it becomes clear that China cannot undertake the early occupation of Formosa, decision in respect to United States occupation should be made by the Joint Chiefs of Staff after consultation with the State-War-Navy Coordinating Committee.

d. If the United States occupies Formosa:

(1) United States military government should be established, but should be continued only until, in the opinion of the United States Government, it can be turned over to Chinese authorities.

(2) The United States Government should consult with the Government of China on matters of broad policy in connection with the military government of Formosa and should arrange with the Government of China for maximum Chinese participation, consistent with military expediency, in the military government and occupation.

(3) United States military government should employ, to the maximum extent practicable, as many local Chinese and Formosan-Chinese as are acceptable to the Government of China.

(4) All acts of military government should avoid prejudicing the legal rights and interests of the Formosan-Chinese and aborigines. (Par. 6, Appendix "B")

RECOMMENDATIONS

8. It is recommended that:

a. This report be referred to the Joint Chiefs of Staff with a request for their comments from a military point of view.

b. Upon approval by the SWNCC of the "Conclusions" in paragraph 7, this report be transmitted to the Joint Chiefs of Staff, and to the State, War and Navy Departments for their guidance, and, where appropriate, for implementation.

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APPENDIX "A"

FACTS BEARING ON THE PROBLEM

1. The Cairo Declaration states:

> "...all the territories Japan has stolen from the Chinese, such as Manchuria, Formosa and the Pescadores, shall be restored to the Republic of China."

2. In a conference on May 14, 1945, President Truman and Mr. T. V. Soong, Foreign Minister of China, discussed "arrangement, in the event of American landings, to hand over enemy-held Chinese territory and territories that under the Cairo Agreement are to be returned to China. Mr. Soong produced a map of China and said that Manchuria and Formosa should be handed back to China. The President concurred."

> (Dept. of State, Memorandum of Conversation, May 14, 1945: Participants: The President, Mr. T. V. Soong, Acting Secretary, Mr. Grew)

3. SWNCC 87/2, distributed to the State-War-Navy Coordinating Committee and to the Joint Chiefs of Staff on 14 June, 1945, states:

> "If it becomes necessary to occupy Formosa by American forces, military government will be established and should be continued until, in the opinion of the United States Government, such military government can be turned over to Chinese authorities."

4. The State Department on May 15, 1944 made the following recommendations with respect to Formosa:

> a. "The transfer of sovereignty presumably will be followed by transfer of all governmental functions en bloc.
>
> b. In the hypothetical event that large scale civil disturbances occur in China and interfere with the full exercise of authority by a responsible Chinese Government, the actual transfer of governmental functions might have to be delayed and might be gradual or en bloc depending on circumstances. Because of the political and legal considerations involved, decisions on those points would rest with the State Department.

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c. If the occupation is long continued and it appears to the military government authorities that even before the transfer of sovereignty some governmental functions could appropriately be delegated to the Chinese for autonomous operation, the matter should be referred to the Department of State."

5. General Order No. 1 (SWNCC 21/8), issued to the Japanese Imperial General Headquarters by the Supreme Commander for the Allied Powers, requires the surrender of all Japanese armed forces in Formosa to Generalissimo Chiang Kai-shek.

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APPENDIX "B"

DISCUSSION

1. Since Formosa is to be returned to China there are no compelling political reasons why the United States should assume the responsibility of accepting the surrender of Japanese forces on the island or of establishing a military government therein. General Order No. 1, issued to the Japanese Imperial General Headquarters by the Supreme Commander for the Allied Powers, requires the surrender of all Japanese armed forces in Formosa to Generalissimo Chiang Kai-shek. Therefore, China should occupy and establish military government in Formosa unless circumstances make it impossible for her to undertake this responsibility. Even if China is able to furnish the troops necessary to occupy Formosa, it is probable that the United States will have to furnish shipping and possibly certain categories of service troops to assist Chinese forces in the occupation. In that event, the United States should take such measures as may be necessary for the protection of U.S. personnel and supplies but should assume no responsibility for military government.

2. Because of China's military weakness and the unstable conditions developing in China as a result of the surrender of Japanese troops therein, it is impossible to determine at this time whether or not China will be able to assume the responsibility for occupying Formosa. If it becomes clear that China cannot undertake this task, decision in respect to occupation of Formosa must be made by the United States. Political considerations appear now to be of minor importance and military considerations will necessarily control as to the disposition of the Japanese forces on the island. Furthermore, Formosan foodstuffs may be required in other areas of the Far East where United States military authorities are in control. Therefore, this decision should be made by the Joint Chiefs of Staff. At the time such decision is made, the Joint

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Chiefs of Staff should obtain the views of the State-War-Navy Coordinating Committee concerning political considerations which may exist at the time.

3. If the United States occupies Formosa, United States military government should be established. Such military government should, however, be continued only until, in the opinion of the United States Government, it can be turned over to a responsible regime. If, however, no responsible Chinese administration is capable of being established within a reasonable period following the effectuation of the terms of surrender as they apply to Formosa, it may be necessary for the U.S. military government to withdraw in favor of whatever Chinese authorities may be on hand. Prior to withdrawal, the Joint Chiefs of Staff should consult with the State-War-Navy Coordinating Committee in regard to the political and economic implications of such withdrawal.

4. Since Formosa is to be returned to China and since the population of Formosa is predominantly Chinese in origin, language and culture, it would be desirable to arrange for Chinese participation in a United States occupation and military government of Formosa to the fullest extent consistent with military expediency. Such participation should depend on the ability of the Chinese to provide personnel to exercise the necessary functions, and should be initiated at as early a time as practicable consistent with the military situation and the maintenance of a stable and effective regime. To this end close liaison should be maintained, and consultation on matters of broad policy should be effected, between the United States military government and the Government of China. The United States authorities should give as much consideration as possible to Chinese plans for the permanent reorganization of the Government of Formosa.

5. If the United States occupies Formosa, military government should employ to the maximum extent practicable, as many local Chinese and Formosan-Chinese as are acceptable

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to the Government of China. Chinese citizens or Formosans resident outside the island should not be employed and brought into Formosa without the approval of the Chinese Government.

6. The Formosan-Chinese and the aborigines possess certain legal rights and interests under existing Formosan law which will continue until the transfer of sovereignty. Therefore, during any period of United States occupation which may be undertaken, short-term administrative acts should avoid prejudicing these rights and interests. Acts of long-term significance should accord with the policies of the Chinese Government.

7. Should the United States occupy Formosa and wish to reserve certain rights or privileges, these should be the subject of special agreements with the Government of China prior to the time military government functions are transferred to Chinese authorities.